

TOP 10 PRIVATE EQUITY DEALS IN 2021

Investee	Investor	Sector	Investment value (\$ billion)	Percentage stake
Flipkart Online Services	Multiple investors	E-commerce	3.6	N.A.
Mphasis	Three Blackstone-affiliated funds	IT & ITeS	2.1	55.30%
Hinduja Global Solutions	Baring Private Equity Asia	IT & ITeS	1.2	100%
Tata Passenger Electric Mobility	TPG Rise Climate and ADQ	Start-up	1	N.A.
Atria Convergence Technologies	Partners Group	Telecom	0.9	75%
Dream11 Fantasy	Multiple investors	Media and entertainment	0.8	N.A.
Swiggy.com	Multiple investors	E-commerce	0.8	N.A.
Embassy Industrial Parks	Blackstone Real Estate	Transport and logistics	0.7	N.A.
Eruditus Executive Education	Multiple investors	Education	0.6	N.A.
Vini Cosmetics	KKR & Co.	Retail and consumer	0.6	N.A.

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step shifted towards the potential acquisition of names such as Bhushan Power, Essar Steel, Alok Industries, Electrosteel Steels, JP Infra, Monnet Ispat and Lanco Infratech. This phase also saw the “forced exit” of cement company Lafarge from India, which, together with Holcim, would have had a monopoly in the eastern part of the country. Lafarge sold its cement capacity of 11 million tonnes to the Nirma group’s cement entity for \$1.4 billion—the deal was necessary to complete the global merger of Holcim and Lafarge.

Cut to the period starting 2021 and M&As have been flying thick and fast. The successful sale of distressed assets and the IBC seem to have provided the impetus. Now, India Inc. boasts of companies with better-looking balance sheets, and firms are on a stronger wicket, with default not being a monster in the room. A more efficient corporate culture has led to banks being willing to lend large sums of money—the end result is high levels of liquidity in the system, allowing groups and companies to get very ambitious. Raj Balakrishnan, Head of Investment Banking at Bank of America, says that the current M&A story is driven by strategic drivers for acquirers and sellers. “The availability of liquidity is an enabler, but the key driver continues to be strategic rationale. For example, Shell’s acquisition of Sprng Energy is driven by its desire to be positioned as one of the first movers in building a truly integrated energy transition business in India,” he says. In line with the theme of strategic M&As, one has seen the HDFC-HDFC Bank merger or LTI and Mindtree coming together to create India’s fifth-largest IT firm.

The inorganic route saves time and, if negotiated

THE TIPPING POINT, SAY INVESTMENT BANKERS, WAS ROSNEFT CUTTING A CHEQUE FOR \$12.9 BILLION TO ACQUIRE ESSAR OIL

well, brings to the table a good asset at a fair valuation. Pritish Kandoi, EVP for Investment Banking at ICICI Securities, reckons M&As are explored to meet shareholder expectations of growth and returns. “Deals are typically driven by a need to build scale in a short time, enter new geographies, add new products/service lines, or build capability around customer experience and distribution.” He cites the example of BYJU’S investing over \$2 billion for 11 acquisitions, including the purchase of Aakash Educational Services, an online test-prep company. “Here, it was to build an omni-channel vertical for its test-prep vertical. There is also the case of PharmEasy with its multiple acquisitions to enter new verticals, which included a significant majority stake in Thyrocare to strengthen its high-margin testing business by tapping into Thyrocare’s network of collection centres,” says Kandoi.

The M&A story continues across large business